SKILLNAVORA · AI PRODUCT MANAGEMENT & GENAI LAUNCHPAD

Pricing & Monetising AI Products

Make AI products profitable: AI cost structure and unit economics, pricing models (seat, usage, credits, outcome, hybrid), packaging AI features, margin control and go-to-market.

Edition 2026 · skillnavora.in

How to use this guide

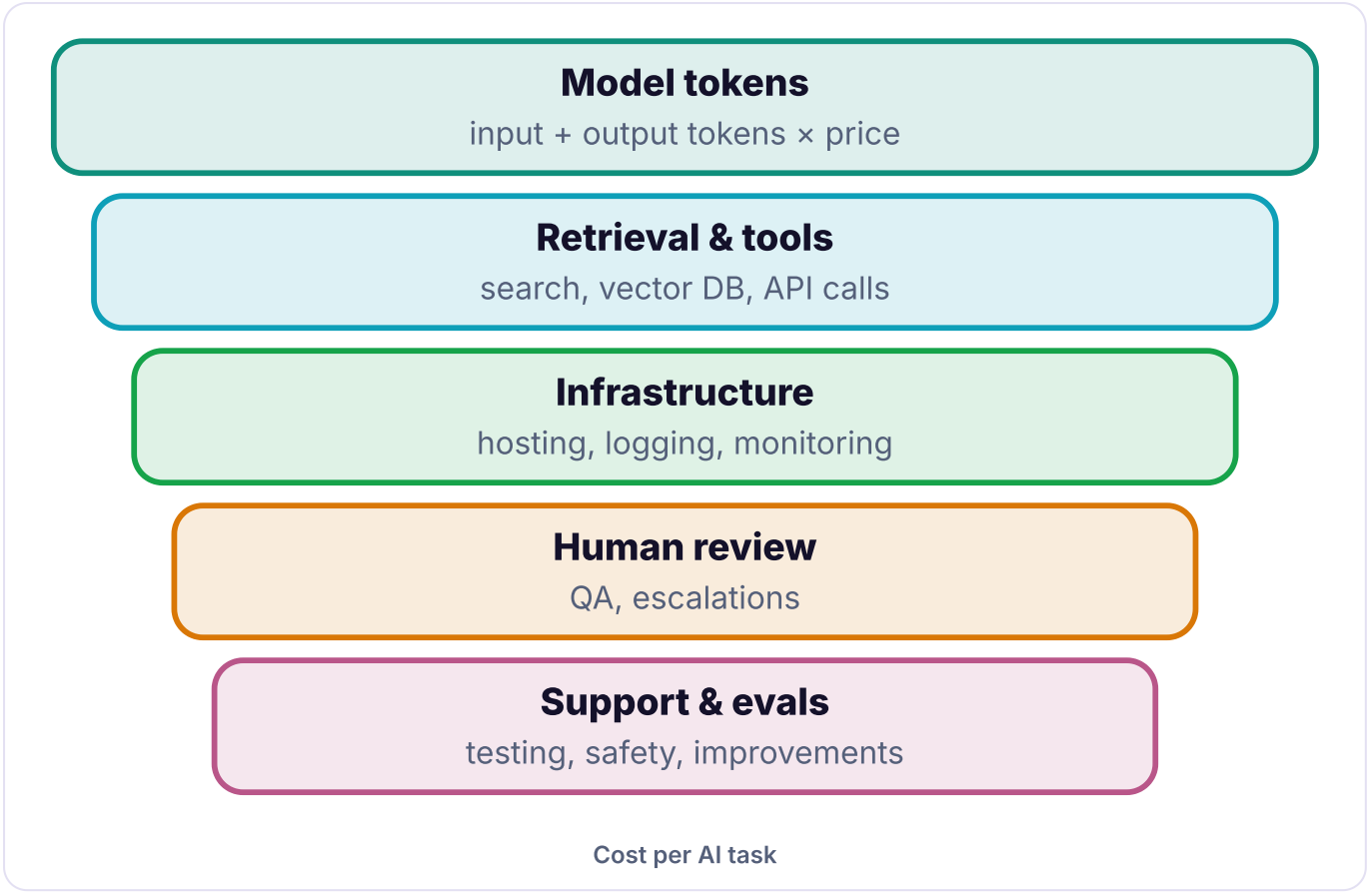
Each class has goals, concepts with Indian examples, key takeaways and a practice exercise, from basic to advanced. Finish with the final project to build something you can show in interviews.

	Class	Level
Class 1	**AI cost structure and unit economics**	Basic
Class 2	**Pricing models**	Basic
Class 3	**Packaging AI features**	Intermediate
Class 4	**Protecting margins**	Intermediate
Class 5	**Pricing research: willingness to pay and value**	Intermediate
Class 6	**Free tiers, trials and conversion**	Intermediate
Class 7	**Go-to-market for AI products**	Advanced
Class 8	**Enterprise AI pricing, contracts and procurement**	Advanced
Class 9	**Changing prices: experiments, grandfathering and communication**	Advanced
Class 10	**Pricing AI for India and emerging markets**	Advanced
Class 11	**Case studies: pricing three AI products**	Advanced
Class 12	**Interview practice: pricing scenario questions**	Advanced
Class 13	**Final project**	Advanced
	Toolkit: templates, cheat sheet, glossary, 14 interview questions, further reading	

BASIC · CLASS 1

AI cost structure and unit economics

Know what each AI task costs.




```
cost per task = (input tokens × input price + output tokens × output price) × calls per task
              + tools/retrieval + human review share
gross margin  = (price per task − cost per task) ÷ price per task
```

Measure cost per **successful** task; retries and failures count.

Example unit economics for an AI writing assistant

Item	Per user per month	Notes
Revenue (plan Rs 799)	Rs 799	Before GST
Inference (average 60 requests, 4,000 tokens each)	Rs 190	Varies by model choice
Retrieval, storage, monitoring	Rs 25	
Payment fees (about 2%)	Rs 16	
Support and success	Rs 40	Allocated
Gross margin	Rs 528 (66%)	Heavy users can turn this negative

Heavy-user problem: a user who makes 1,000 requests costs about 16 times the average. Plans need caps, fair-use limits or usage pricing.

Key takeaways

- Every AI use has a variable cost.
- Track cost per successful task.
- Include human review and evals in cost.

Practice exercise: Estimate the cost per conversation for an AI support bot with your own assumptions.

BASIC · CLASS 2

Pricing models

Compare seat, usage, credits, outcome and hybrid pricing.

Model	Example	Pros	Cons
Per seat	₹X per user/month incl. AI	Simple, predictable	Heavy users erode margin
Usage	Per 1,000 messages / minutes	Aligns with cost	Unpredictable bills
Credits	Monthly credit pack, top-ups	Flexible, controls cost	Harder to understand
Outcome	Per resolved ticket / booked meeting	Aligns with value	Needs clear measurement
Hybrid	Seat + included usage + overage	Balanced	More complex

Choosing a value metric (what you charge for)

Metric	Example	Pros	Cons
Per seat	Rs 500 per user per month	Simple, predictable	Discourages sharing; poor fit when AI does the work
Usage (tokens, calls, minutes)	Per 1,000 requests	Aligns with cost	Unpredictable bills; harder to sell
Outcome-based	Per resolved ticket, per qualified lead	Strong value link	Needs clear measurement and trust
Credits / bundles	500 AI credits per month	Predictable cost control	Confusing if credit rules are complex
Flat tier	Starter, Pro, Business	Easy to buy	Over- or under-charges extremes
Hybrid	Seat + included credits + overage	Balanced	More complex to explain

Key takeaways

- Match price metric to value and cost.
- Hybrid models are common.
- Outcome pricing needs trusted measurement.

Practice exercise: Pick a pricing model for 3 AI products and justify it.

INTERMEDIATE · CLASS 3

Packaging AI features

Decide free, paid and add-on AI.

- **Free tier AI** to drive adoption (limited usage).
- **AI in premium plans** to upsell.
- **AI add-on** priced separately for heavy-value use.
- Fair-use limits and clear meters; show usage in-product.
- India context: price sensitivity, UPI autopay, annual discounts, team plans for SMEs.

Good-better-best packaging

Plan	Who	AI included	Limits
Free	Try and learn	Basic AI with small quota	Strict daily cap; no priority; watermark or branding
Pro (Rs 799)	Individuals and small teams	Full AI features, standard model	Fair-use monthly cap
Business (Rs 1,999 per seat)	Teams	Advanced models, team knowledge base, admin controls	Higher caps, SSO, analytics
Enterprise (custom)	Large organisations	Custom models, security, SLAs, dedicated support	Contracted volume

Gate by **value and cost**: put expensive, high-value capabilities (larger models, long documents, automation) in higher tiers; keep the "aha" moment available in free or low tiers.

Key takeaways

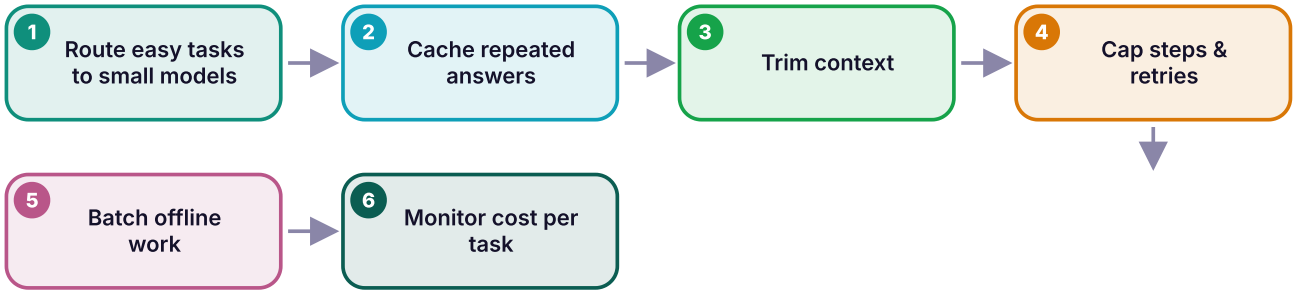
- Free AI drives adoption; limits protect margin.
- Show usage clearly.
- Localise price points and payment methods.

Practice exercise: Design Free / Pro / Business packaging for an AI writing tool for Indian SMEs.

INTERMEDIATE · CLASS 4

Protecting margins

Reduce AI cost without hurting quality.



Margin levers

Always check quality with evals after a cost change.

Margin protection levers

Lever	Effect
Model routing (cheap model first)	Cuts inference cost 30 to 70% on easy tasks
Caching repeated answers and prompt caching	Lower cost and latency
Shorter prompts and context pruning	Fewer tokens
Rate limits and fair-use caps	Stops runaway usage
Batch processing for non-urgent tasks	Discounted pricing
Annual contracts and prepaid credits	Cash flow and commitment
Re-price quarterly using real cost data	Keeps margin healthy as prices change

Key takeaways

- Routing and caching are the biggest levers.
- Cap runaway usage.
- Verify quality after every cost cut.

Practice exercise: Pick 3 margin levers for an AI tutor and estimate savings.

INTERMEDIATE · CLASS 5

Pricing research: willingness to pay and value

Find prices that match the value customers see.

- **Value-based pricing:** start from the customer's gain (hours saved x hourly cost, revenue gained, cost avoided), then charge a fraction, commonly 10 to 30% of the value created.
- **Van Westendorp price sensitivity:** ask four questions (too cheap, cheap, expensive, too expensive) to find an acceptable price range.
- **Gabor-Granger:** show a price, ask if they would buy; raise or lower; build a demand curve.
- **Conjoint analysis:** trade-off surveys to learn which features customers value and how much.
- **Interviews and sales calls:** what do they use today, what does it cost, what would make them switch?
- **Competitor and substitute pricing:** include non-software alternatives (an agency, an intern, a freelancer).

Customer	Value calculation	Supports a price of
Support team of 20 agents	Saves 25% of time = 5 agent-months x Rs 40,000 = Rs 2 lakh a month	Rs 40,000 to Rs 60,000 a month (20 to 30% of value)
Solo marketer	Saves 8 hours a week x Rs 500 = Rs 16,000 a month	Rs 1,500 to Rs 3,000 a month

> Price tests are tricky: people talk to each other and anchoring matters. Prefer tests on new customers, clear plans, and avoid showing different prices for the same product to the same audience without a clear reason and policy.

Key takeaways

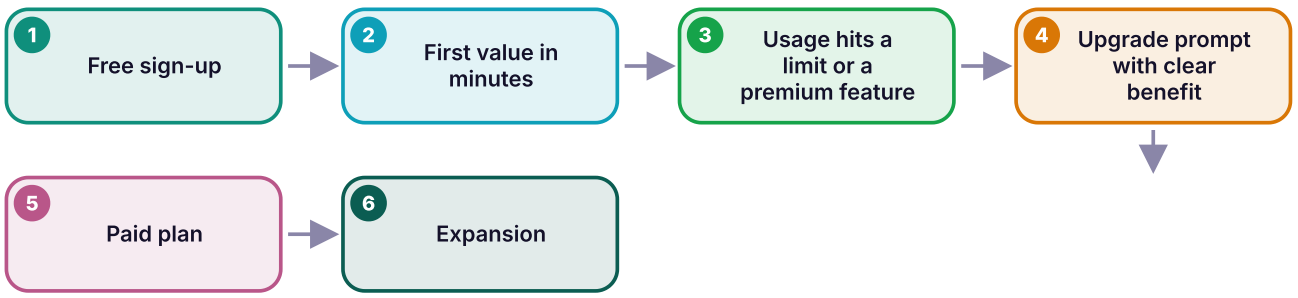
- Anchor on customer value, not your cost.
- Use Van Westendorp or Gabor-Granger for ranges.
- Compare with non-software alternatives.

Practice exercise: Calculate the value created for one customer segment and propose a price range.

INTERMEDIATE · CLASS 6

Free tiers, trials and conversion

Design the path from free to paid without losing money.



A product-led growth path

- **Free cap:** cost per free user must be low; set a budget (for example Rs 8 per free user per month) and enforce quotas.
- **Trial vs freemium:** a time-limited trial suits complex products with clear value; freemium suits viral, low-cost products.
- **Upgrade triggers:** limits reached, team features, higher quality models, history, exports, integrations.
- **Measure:** activation rate, free-to-paid conversion (often a few percent for self-serve, varies widely), time to convert, cost per free user, payback period.
- **Abuse control:** verified phone or email, rate limits, bot detection, multiple-account detection.

Key takeaways

- Cap the cost of free users.
- Upgrade at the moment of value or limit.
- Track activation and cost per free user.

Practice exercise: Design a free tier and upgrade triggers with a cost budget per free user.

ADVANCED · CLASS 7

Go-to-market for AI products

Launch and sell AI with proof.

- Lead with measurable outcomes (hours saved, tickets resolved) and case studies.
- Free trials with guided use cases; time-to-value under 10 minutes.
- Address trust: security, data use, accuracy, human control.
- Sales enablement: ROI calculator, demo scripts, objection handling (hallucinations, privacy).

Go-to-market motions

Motion	Best for	Notes
Product-led (self-serve, free trial)	Individuals and SMBs	Time to value in minutes; viral loops; usage-based upgrades
Sales-led	Enterprises	Proof of concept, security review, procurement, annual contracts
Partner-led	Regulated or niche markets	Resellers, system integrators, marketplaces
Community-led	Developer products	Open source, tutorials, events

Key takeaways

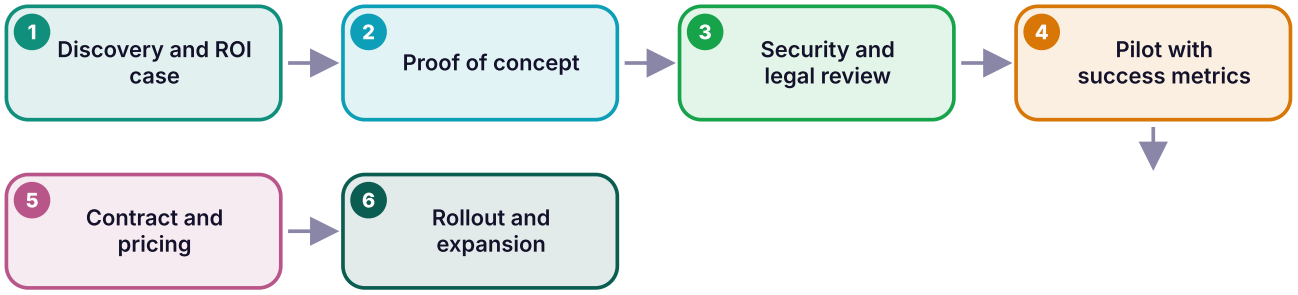
- Sell outcomes with proof.
- Fast time-to-value in trials.
- Answer trust objections upfront.

Practice exercise: Write an ROI calculator outline for an AI support copilot.

ADVANCED · CLASS 8

Enterprise AI pricing, contracts and procurement

Sell AI to large organisations.



The enterprise AI sales cycle

Topic	What buyers ask and what you offer
Pricing structure	Annual commit, volume tiers, overage rates, enterprise discounts, pilot pricing credited to contract
Security and privacy	SOC 2 / ISO 27001, data residency, no training on their data, encryption, SSO, audit logs
SLAs	Uptime, response times, support tiers
IP and liability	Indemnity for generated content, liability caps
Quality guarantees	Evals, acceptance criteria, human-in-the-loop options
Procurement	Vendor onboarding, invoices, GST, purchase orders, 3 to 9 month cycles
ROI proof	Baseline, pilot results, case studies, executive dashboard

Outcome-based deals (pay per resolved case) can win trust but need clear definitions, data access to verify outcomes, and protection from unexpected volume.

Key takeaways

- Sell with an ROI case, a pilot and clear success metrics.
- Prepare security, privacy and legal packs in advance.
- Structure pilots to convert into contracts.

Practice exercise: Create an enterprise pricing and pilot proposal outline for an AI support product.

ADVANCED · CLASS 9

Changing prices: experiments, grandfathering and communication

Raise or restructure prices without losing trust.

- **When to change:** margins fall below target, usage patterns change, the value delivered grows, or costs (models) drop and you can share savings.
- **Grandfathering:** keep existing customers on current prices for a period, or give notice (30 to 90 days) and a migration offer.
- **Communicate value first:** explain what customers get, not only the number; use plain language and a simple example bill.
- **Test carefully:** pilot a new plan with new customers, monitor conversion, churn, support tickets and gross margin for at least one billing cycle.
- **Falling model prices:** decide whether to lower prices, add more value, or hold price and increase margin; competitors will move too.
- **Legal and fairness:** follow consumer-protection rules on price transparency, auto-renewals and cancellation (avoid dark patterns).

Key takeaways

- Explain value before price.
- Pilot changes; protect existing customers.
- Plan for falling model costs.

Practice exercise: Write a customer communication for a price change with grandfathering and an example bill.

ADVANCED · CLASS 10

Pricing AI for India and emerging markets

Adapt pricing to local payment habits and price sensitivity.

Factor	What to do
Price sensitivity	Lower entry price points (Rs 99 to Rs 499), regional and student pricing, annual discounts
Payments	UPI AutoPay, cards, wallets, carrier billing, clear GST (18% on most software services; check current rules)
Bundles and partnerships	Telecom, banks, device makers, edtech platforms
Language and trust	Local-language pricing pages, clear refund policy, WhatsApp support
Usage-based for businesses	Pay-as-you-go with prepaid credits suits SMBs with variable demand
Free usage economics	Strong cost controls: smaller models, caching, quotas
Compliance	Invoicing rules, TDS for B2B, data residency where required

Test willingness to pay by city tier and segment; do not copy US price points without adjusting to local value and alternatives.

Key takeaways

- Lower entry prices and UPI-friendly billing.
- Use prepaid credits and bundles for SMBs.
- Keep GST and invoicing correct.

Practice exercise: Design an India pricing page with three plans and a free tier for an AI product.

ADVANCED · CLASS 11

Case studies: pricing three AI products

Work through realistic pricing decisions (illustrative numbers).

Case 1: AI meeting-notes app (individuals)

Item	Numbers
Cost per hour of audio (ASR + summary)	Rs 6
Average user	12 hours a month = Rs 72 cost
Heavy user	80 hours = Rs 480 cost
Plan	Free: 3 hours; Pro Rs 499: 30 hours; Pro+ Rs 999: 100 hours; overage Rs 8 per hour
Gross margin at average use of Pro	about 70%

The caps protect margin from heavy users while the free tier shows the value quickly.

Case 2: AI support agent (B2B, outcome-based)

- Customer today: 10,000 tickets a month at Rs 40 each = Rs 4 lakh.
- AI resolves 50% fully. Pricing options: Rs 15 per resolved ticket, with a minimum commit of Rs 50,000 a month.
- Customer pays about Rs 75,000 and saves Rs 2 lakh. Vendor cost per resolution about Rs 4, so margin is healthy.
- Define 'resolved' carefully (no reopen within 72 hours, no escalation) and share a dashboard.

Case 3: AI design tool with falling model prices

- Model costs fell 50% in a year. Options: hold price and increase margin, cut price to win share, or add more credits.
- Decision: keep price, double credits and add team features, which lifts perceived value while keeping margin; revisit quarterly.

Key takeaways

- Caps and tiers protect margin.
- Outcome pricing needs clear definitions.
- Share cost savings as value, not only price cuts.

Practice exercise: Build the same table for an AI product you know.

ADVANCED · CLASS 12

Interview practice: pricing scenario questions

Answer pricing questions with numbers.

Q. How would you price an AI coding assistant?
Model answer: I would estimate value (hours saved per developer), model cost per active developer, and compare with alternatives. A per-seat plan with fair-use limits suits individuals, a team tier adds admin and security features, and enterprise adds contracts and SLAs. I would test willingness to pay with Van Westendorp surveys and pilots, and track gross margin by usage decile.
Why it works: It covers value, cost, plans and validation.

Q. Our costs spiked because a few users are heavy. What do you do?
Model answer: I would analyse usage distribution, introduce fair-use limits or credits, optimise models (routing, caching), and offer a higher tier or overage for heavy users, with clear communication and grandfathering.
Why it works: It diagnoses, optimises and prices the tail.

Q. Is outcome-based pricing a good idea?
Model answer: It aligns incentives and can win enterprise trust, but needs clear outcome definitions, verifiable data, and protection against volume swings. I would offer it with a minimum commit and caps.
Why it works: Balanced view with conditions.

Q. How do you roll out a price increase?
Model answer: Explain the added value, give notice, grandfather existing customers for a period, test on new customers first, and monitor churn, conversion and support.
Why it works: Customer-first change management.

Key takeaways

- Estimate value, cost and alternatives.
- Protect margin from the tail.
- Roll out changes with notice and testing.

Practice exercise: Answer all four with your own numbers.

ADVANCED · CLASS 13

Final project

Price and package a real AI product.

Choose an AI product; build a unit-economics sheet (cost per task, margin), choose a pricing model and packaging, set fair-use limits, write the pricing page copy, and an experiment plan to test willingness to pay.

Key takeaways

- Numbers first, then packaging.
- Test willingness to pay.
- Revisit as model prices fall.

Practice exercise: Complete the pricing project.

TOOLKIT

Templates

Unit-economics sheet

Field	Fill in
Tasks per user per month	
Tokens per task (in / out)	
Model price	
Tools & retrieval cost	
Human review cost	
Cost per successful task	
Price per user / per task	
Gross margin	

TOOLKIT

Cheat sheet

Term / tool	Meaning / use
Unit economics	Revenue and cost per unit (task, user)
Gross margin	(Price – cost) ÷ price
Credits	Prepaid units consumed by AI use
Outcome pricing	Charging per result achieved
Fair use	Limits that prevent abuse
Value pricing	Charge 10 to 30% of the value created
Margin levers	Routing, caching, caps, annual commits, re-pricing
Plans	Free, Pro, Business, Enterprise
Enterprise	ROI case, pilot, security pack, contract

Glossary

Overage	Charge beyond included usage
ROI	Return on investment
Value metric	The unit you charge for
Gross margin	Revenue minus direct costs, as a share of revenue
ARPU	Average revenue per user
Overage	Charges beyond included usage
Grandfathering	Keeping existing customers on old terms
Fair-use policy	Limits applied to unlimited-sounding plans
PLG	Product-led growth
Payback period	Time to recover acquisition cost
Willingness to pay	The most a customer would pay
Credits	Prepaid units of usage
Churn	Customers leaving over a period
Expansion revenue	Extra revenue from existing customers

INTERVIEW PREP

14 interview questions with answers

Q1. Why is AI pricing different?
Each use has variable model cost, so heavy usage can destroy margins on flat seat pricing.

Q2. Which pricing model would you choose?
The one whose metric matches customer value and cost: often hybrid seat + included usage + overage, or outcome pricing when results are measurable.

Q3. How do you calculate cost per task?
Tokens × prices × calls + tools and retrieval + human review share, divided over successful tasks.

Q4. How do you protect margins?
Routing, caching, context trimming, step caps, batching, monitoring cost per task, verified with evals.

Q5. How do you sell AI?
Outcome proof, fast time-to-value, trust answers, ROI tools.

Q6. How do you price an AI product?
Start from customer value, model the cost per use, choose a value metric (seat, usage, outcome or credits), package good-better-best tiers with caps, and validate with research and pilots.

Q7. Seat-based or usage-based pricing for AI?
Seats are simple but break when AI does work without users. Usage aligns with cost but can scare buyers; hybrids with included credits and overage are common.

Q8. How do you protect margins in an AI product?
Model routing, caching, prompt optimisation, caps and fair use, batch discounts, annual commits, and regular re-pricing based on real cost data.

Q9. What is the heavy-user problem?
A few users consume far more cost than they pay for, harming gross margin. Solve with limits, usage tiers or credits.

Q10. How do you design a free tier?
Limit cost per free user, show value fast, upgrade at limits or premium features, and prevent abuse with verification and rate limits.

Q11. What is outcome-based pricing?
Charging per result, such as a resolved ticket. It aligns incentives but requires clear measurement and volume protection.

Q12. How do you raise prices without losing customers?
Communicate value, give notice, grandfather where sensible, pilot with new customers, and monitor churn and support.

Q13. What do enterprise buyers ask about AI vendors?
Security certifications, data use and residency, SLAs, IP indemnity, quality guarantees, pricing structure and ROI evidence.

Q14. Model prices are falling. What does it mean for pricing?
Costs drop for everyone, so differentiation must come from value, workflow and trust; decide whether to cut price, add features or increase margin.

LEARN MORE

Further reading and tools

- OpenAI pricing: https://openai.com/api/pricing/
- Anthropic pricing: https://www.anthropic.com/pricing
- Google AI pricing: https://ai.google.dev/pricing
- OpenView: usage-based pricing: https://openviewpartners.com/usage-based-pricing/
- Price Intelligently (ProfitWell) resources: https://www.profitwell.com/recur
- Lenny's pricing articles: https://www.lennysnewsletter.com/
- a16z: pricing AI products: https://a16z.com/ai/

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